through self-study. There was hardly any spread of primary education or even literacy in the rural areas.

Development of Modern Industries

An important development in the second half of the nineteenth century was the establishment of large-scale machine-based industries in India. The machine age in India began when cotton textile, jute and coal-mining industries were started in the 1850s. The first textile mill was started in Bombay by Cowasjee Nanabhoy in 1853, and the first jute mill in Rishra (Bengal) in 1855. These industries expanded slowly but continuously. In 1879 there were 56 cotton textile mills in India employing nearly 43,000 persons. In 1882 there were 20 jute mills, most of them in Bengal, employing nearly 20,000 persons. By 1905, India had 206 cotton mills employing nearly 196,000 persons. In 1901 there were over 36 jute mills employing nearly 115,000 persons. The coal-mining industry employed nearly one lakh of persons in 1906. Other mechanical industries which developed during the second half of the nineteenth and the beginning of the twentieth centuries were cotton gins and presses, rice, flour and timber mills, leather tanneries, woollen textiles, sugar mills, iron and steel works, and such mineral industries as salt, mica and saltpetre. Cement, paper, matches, sugar and glass industries developed during the 1930s. But all these industries had a very stunted growth.

Most of the modern Indian industries were owned or controlled by British capital. Foreign capitalists were attracted to Indian industry by the prospect of high profit. Labour was extremely cheap; raw materials were readily and cheaply available; and for many goods, India and its neighbours provided a ready market. For many Indian products, such as tea, jute and manganese, there was a ready demand the world over. On the other hand, profitable investment opportunities at home were getting fewer. At the same time, the colonial government and officials were willing to provide all help and show all favours.

Foreign capital easily overwhelmed Indian capital in many of the industries. Only in the cotton textile industry did Indians have a large